

PROJECT REPORT

OF

SH. VISHRAM SINGH GURJAR S/O SH. RAMJI LAL GURJAR

Add: Khatana Ki Dhani, Palawas, Post-Jopada, Distt.-Dausa (Raj.)-303501

Pashupalan and Dairy Udhyog - 20 H.F. Cows Dairy Unit (with Infrastructure)

Total Project Cost : Rs. 25.00 Lacs | Scheme : PMEGP

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For SH. VISHRAM SINGH GURJAR S/O SH. RAMJI LAL GURJAR

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Bio Data of Unit & Promoter

1	Name of Project	Pashupalan and Dairy Udhog (20 H.F. Cows)
2	Address	Khatana Ki Dhani, Palawas, Post-Jopada, Distt.-Dausa (Raj.)-303501
3	Proprietor	SH. VISHRAM SINGH GURJAR S/O SH. RAMJI LAL GURJAR
4	Status	Proprietorship Firm (OBC)
5	Business / Activity	Dairy farming - sale of milk
6	Breed / Herd size	Holstein Friesian (H.F.) cross-bred cows - 20 Nos (20 Ltr/day yielders)
7	Raw Materials	Green & dry fodder, cattle feed, khal, mineral mixture - easily available locally
8	Promoter Introduction	Experienced in animal husbandry; already running a buffalo dairy unit
9	Market Opinion	Very good scope: Dausa is on the Jaipur-Agra highway; ready demand from Saras dairy collection centres, sweet shops & households. Demand increasing day by day.
10	Production Capacity	Installed: 400 Ltr milk/day (20 cows x 20 Ltr) Utilised: 320 Ltr/day (80% - about 16 cows in milk, 4 dry)
11	Employment	3 persons (1 manager + 1 skilled + 1 un-skilled) + promoter & family

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PROJECT - REPORT

1. Cost of Project (Rs. in Lacs)

S.No	Particulars	Amount
1	Land	Owned
2	Building, Cattle Shed & Infrastructure	6.00
3	Plant & Machinery, Equipments	2.20
4	Live Stock - 20 H.F. Cows	15.00
5	Pre-operative (cattle insurance 1st yr & transportation)	0.40
6	Working Capital	1.40
	Total Cost of Project	25.00

2. Means of Finance (Rs. in Lacs)

S.No	Particulars	Amount
1	Promoter's Contribution @ 5%	1.25
2	Term Loan from Bank	22.42
3	Working Capital Loan (CC Limit)	1.33
	Total	25.00

3. Fund Required from Bank under PMEGP Scheme (Rs. in Lacs)

S.No	Particulars	Amount
1	Term Loan	22.42
2	Working Capital	1.33
	Total Bank Finance	23.75

Note: Under PMEGP (rural area, special category - OBC) margin money subsidy @ 25% i.e. about Rs. 6.25 Lacs is admissible. It is kept as a 3-year lock-in (TDR) with the bank and adjusted against the loan, hence not taken in the projections.

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1. Factory Land

Dairy unit situated at Village-Palawas, Tehsil & Distt. Dausa (Raj.) - **Owned**

2. Building, Cattle Shed & Infrastructure (Rates incl. material & labour)

S.N.	Particulars	Qty	Unit	Rate	Amount
1	Cattle shed - steel pipe structure with GI/tin sheet roof, 30' x 60'	1800	Sq.ft	150	270,000
2	PCC floor with slope, anti-slip grooving & urine drain	1800	Sq.ft	40	72,000
3	Manger (khor) & water trough - brick & cement	60	R.ft	700	42,000
4	Feed / fodder store-cum-labour room 10' x 20'	200	Sq.ft	400	80,000
5	Calf pen & sick-animal (isolation) pen	L.S.		31,000	31,000
6	Side / boundary wall (brick, 4.5 ft high)	160	R.ft	250	40,000
7	Dung pit & vermicompost beds	2	Nos	15,000	30,000
8	Electric fitting, lights & water pipeline	L.S.		35,000	35,000
	Total				600,000
				Or Say	6.00 Lacs

Shed space: ~90 sq.ft covered per cow; long axis East-West, 12-14 ft height at centre for ventilation.

3. Plant & Machinery etc. (Rates incl. GST & freight)

S.N.	Particulars	Pcs.	Rate	Amount	Supplier
1	Milking machine (double bucket, electric)	1	55,000	55,000	Open Market
2	Electric chaff cutter with 2 HP motor	1	32,000	32,000	Open Market
3	Water motor / submersible pump 1.5 HP	1	18,000	18,000	Open Market
4	Water tank 2000 Ltr (PVC)	1	14,000	14,000	Open Market
5	Milk cans 40 Ltr (aluminium)	6	3,000	18,000	Open Market
6	Rubber cow mats	20	2,500	50,000	Open Market
7	Fans / foggers for summer cooling	4	3,500	14,000	Open Market
8	Balti, bhagona, chain, rope & misc. items	L.S.	19,000	19,000	Open Market
	Total			220,000	
			Or Say	2.20 Lacs	

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4. Live Stock

S.N.	Particulars	No.	Rate	Amount	Supplier
1	H.F. cross-bred cows (2nd/3rd lactation, 20 Ltr/day)	20	75,000	1,500,000	Open Market / Cattle Fair
			Or Say	15.00 Lacs	

Cows to be purchased in two batches of 10 (gap of ~4-6 months) so that milk production remains uniform round the year.

5. Pre-operative Expenses

S.N.	Particulars	Amount
1	Cattle insurance 1st year @ ~2.5% of Rs. 15.00 Lacs	37,500
2	Transportation of cows	2,500
	Total (Or Say)	0.40 Lacs

6. Working Capital Limit

Particulars	Margin %	Amount	Bank	Own
Feed & fodder stock	5%	70,000	66,500	3,500
Sundry receivable (milk bills)	5%	50,000	47,500	2,500
Cash in hand	5%	20,000	19,000	1,000
Total		140,000	133,000	7,000

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STATEMENT OF PROJECTED COST OF PRODUCTION & SALES REALISATION

Basic Parameters

Name of Product	Milk
Name of Raw Materials	Green fodder, bhusa, cattle feed, khal, mineral mixture
Installed Capacity	400 Ltr milk per day (20 cows x 20 Ltr)
No. of Working Days	360 days (dairy works all days; ~80% cows in milk at a time)

Utilisation	Capacity %	Ltr / Day	Ltr / Year
1st Yr	80%	320	115,200
2nd Yr	80%	320	115,200
3rd Yr	80%	320	115,200
4th Yr	80%	320	115,200
5th Yr	80%	320	115,200
6th Yr	80%	320	115,200
7th Yr	80%	320	115,200

Calculation of Sales Realisation - 1st Year

Particulars	Qty	Unit	Rate	Amount (Rs.)
Milk sale (320 Ltr/day x 360 days)	115,200	Ltr	30	3,456,000
Net Sales Realisation				3,456,000
			Say Rs.	34.56 Lacs

Milk rate Rs. 30/Ltr is the present dairy rate for cow milk. Whole milk is sold to the dairy collection centre; no other product is taken. Selling prices escalated @ 3% p.a. in later years.

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Calculation of Cost of Production (1st Year)

(a) Cost of Raw Material - Feed & Fodder

Particulars	Qty	Unit	Rate	Amount (Rs.)
Green fodder from own field (cost of cultivation) @ 20 kg/cow/day	1,460	Qtl	150	219,000
Dry fodder - bhusa / kadbi @ 5 kg/cow/day	365	Qtl	800	292,000
Concentrate - cattle feed, khal, dana (1 kg per 2.5 L milk + 1.5 kg)	577	Qtl	2,500	1,441,750
Mineral mixture & salt @ 50 g/cow/day	365	Kg	120	43,800
Cost of Raw Material			Or Say	19.97 Lacs

(b) Power & Utility

Power - 6,000 units @ Rs. 8.00 (chaff cutter, milking m/c, pump, fans)	48,000
Diesel / other fuel	12,000
Total (Say Rs. Lacs)	0.60

(c) Veterinary, Medicine & Breeding

Medicine, vaccination & deworming @ Rs. 3,000 / cow	60,000
Artificial insemination & misc. @ Rs. 500 / cow	10,000
Total (Say Rs. Lacs)	0.70

(d) Salary & Wages

Designation	No.	Salary P.M.	Amount P.M.
Manager	1	18,000	18,000
Skilled labour / milker	1	15,000	15,000
Un-skilled labour	1	10,000	10,000
Total (x 12 months)			5.16 Lacs

Promoter & family also help in day-to-day work.

(e) Other Admin. Expenses

Office & misc. exp.	12,000
Travelling & conveyance	18,000
Phone & stationery	6,000
Milk transport to dairy	14,000
Total (Say Rs. Lacs)	0.50

(f) Repair & Maintenance

2% on building (Rs. 6.00 L) + 3% on machinery (Rs. 2.20 L) = **Rs. 0.19 Lacs**

(g) Cattle Insurance

1st year included in pre-operative cost; renewal from 2nd year @ 2.5% = **Rs. 0.38 Lacs** p.a.

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Statement of Cost of Expenses & Profitability (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
Installed capacity (Ltr/day)	400	400	400	400	400	400	400
Utilised capacity %	80%	80%	80%	80%	80%	80%	80%
Production (Ltr/day)	320	320	320	320	320	320	320
Raw material (feed & fodder)	19.97	20.96	22.01	23.11	24.27	25.48	26.76
Salary & wages (5% inc.)	5.16	5.42	5.69	5.97	6.27	6.59	6.91
Power & utilities	0.60	0.62	0.64	0.66	0.68	0.70	0.72
Veterinary & breeding	0.70	0.73	0.77	0.81	0.85	0.89	0.94
Cattle insurance	0.00	0.38	0.38	0.38	0.38	0.38	0.38
Admin. expenses (5% inc.)	0.50	0.53	0.55	0.58	0.61	0.64	0.67
Repair & maintenance	0.19	0.19	0.19	0.19	0.19	0.19	0.19
Interest (T.L. + W.C.)	2.33	1.99	1.65	1.32	0.98	0.64	0.31
Depreciation	2.86	2.50	2.20	1.93	1.69	1.49	1.31
Total Expenses	32.29	33.31	34.07	34.94	35.91	36.99	38.17
Sales / Gross Receipt	34.56	35.60	36.66	37.76	38.90	40.06	41.27
Profit Before Tax	2.27	2.28	2.59	2.83	2.99	3.08	3.10
Income Tax (new regime)	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Profit After Tax	2.27	2.28	2.59	2.83	2.99	3.08	3.10
Gross Cash Accruals	5.12	4.79	4.79	4.76	4.68	4.57	4.40
Net Profit Ratio % (before tax)	6.56	6.41	7.07	7.48	7.68	7.68	7.50

Profit (1st Year)

Revenue expected per year	34.56
Less: cost of expenses	32.29
Profit	2.27

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Calculation of Depreciation (W.D.V. method, Rs. in Lacs)

Asset (Cost)	Rate	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
Building & shed (6.00)	10%	0.60	0.54	0.49	0.44	0.39	0.35	0.32
Plant & machinery (2.20)	15%	0.33	0.28	0.24	0.20	0.17	0.15	0.12
Live stock (cows) (15.40)	12.5%	1.93	1.68	1.47	1.29	1.13	0.99	0.86
Total		2.86	2.50	2.20	1.93	1.69	1.49	1.31

Live stock depreciation @ 12.5% taking average productive life of 8 years (pre-operative cost capitalised with live stock).

Calculation of Interest on Term Loan @ 10.50% (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
Opening balance	22.42	19.22	16.01	12.81	9.61	6.41	3.20
Less: repayment	3.20	3.20	3.20	3.20	3.20	3.20	3.20
Closing balance	19.22	16.01	12.81	9.61	6.41	3.20	0.00
Average balance	20.82	17.62	14.41	11.21	8.01	4.80	1.60
Interest @ 10.50% on avg. bal.	2.19	1.85	1.51	1.18	0.84	0.50	0.17

Term loan repayable in 7 years in equal yearly (monthly) instalments. Interest on W.C. limit Rs. 1.33 L @ 10.50% = Rs. 0.14 L p.a.

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Debt Service Coverage Ratio (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
A. Cash Accruals							
Profit after tax	2.27	2.28	2.59	2.83	2.99	3.08	3.10
Depreciation	2.86	2.50	2.20	1.93	1.69	1.49	1.31
Interest on term loan	2.19	1.85	1.51	1.18	0.84	0.50	0.17
Total (A)	7.31	6.64	6.30	5.93	5.52	5.07	4.57
B. Repayment of Obligations							
Repayment of bank loan	3.20	3.20	3.20	3.20	3.20	3.20	3.20
Interest on bank loan	2.19	1.85	1.51	1.18	0.84	0.50	0.17
Total (B)	5.39	5.05	4.72	4.38	4.04	3.71	3.37
C. D.S.C.R. (A / B)	1.36	1.31	1.34	1.35	1.37	1.37	1.36

Average D.S.C.R. = 41.35 / 30.66 = 1.35

D.S.C.R. = (Net profit after tax + Interest on T.L. + Depreciation) / (T.L. repayment + Interest)

Break-Even Point (1st Year, Rs. in Lacs)

Sales	34.56
Variable cost (feed, power, veterinary)	21.27
Contribution (Sales - Variable cost)	13.29
Fixed cost (wages, admin, R&M, interest, depreciation)	11.03
B.E.P. = Fixed cost / Contribution x 100	82.94%
B.E.P. in terms of installed capacity	66.35%

Key Financial Indicators

Total project cost	Rs. 25.00 Lacs
Bank finance (T.L. + W.C.)	Rs. 23.75 Lacs
Average D.S.C.R.	1.35
Net profit ratio (1st yr)	6.56%
Break-even point (1st yr)	82.94%
Payback period (cumulative cash accruals)	5.2 years

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PROJECTED CASH FLOW STATEMENT (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
A. CASH INFLOW							
Profit before tax	2.27	2.28	2.59	2.83	2.99	3.08	3.10
Depreciation	2.86	2.50	2.20	1.93	1.69	1.49	1.31
Own contribution	1.25	0.00	0.00	0.00	0.00	0.00	0.00
Term loan from bank	22.42	0.00	0.00	0.00	0.00	0.00	0.00
W.C. loan from bank	1.33	0.00	0.00	0.00	0.00	0.00	0.00
Total - A	30.12	4.79	4.79	4.76	4.68	4.57	4.40
B. CASH OUTFLOW							
Fixed assets (building, P&M, cows, pre-op.)	23.60	0.00	0.00	0.00	0.00	0.00	0.00
Current assets (W.C.)	1.40	0.00	0.00	0.00	0.00	0.00	0.00
Drawings	1.00	1.20	1.40	1.50	1.60	1.80	2.00
Income tax	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Repayment of term loan	3.20	3.20	3.20	3.20	3.20	3.20	3.20
Total - B	29.20	4.40	4.60	4.70	4.80	5.00	5.20
Increase in cash (A - B)	0.92	0.38	0.19	0.05	-0.12	-0.44	-0.80
Opening balance	0.00	0.92	1.30	1.49	1.54	1.42	0.99
Closing balance	0.92	1.30	1.49	1.54	1.42	0.99	0.19

Conclusion

The project is technically feasible and financially viable. With average D.S.C.R. of 1.35, the unit can comfortably repay the bank loan within 7 years, besides generating employment for 3 persons in the village. Bank finance is recommended.

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